CONCALL TRACKER · Q1 FY27 CONTINUITY READ

Marksans Pharma Ltd

Screener ticker: MARKSANS · BSE 524404 · Prepared 6 Nov 2026 · Builds on the Q4-2026 report (12 calls, Q1 FY24 to Q4 FY26) and deep-reads the new Q1 FY27 call held 13 Aug 2026

1. Snapshot: what the company is

Marksans makes **generic (off-patent) medicines**, mostly **over-the-counter (OTC)** pills, capsules and liquids you can buy without a prescription: pain-killers, cough and cold, digestion and allergy products. It makes them cheaply in Goa (plus a smaller US plant) and sells almost everything abroad, to big retail chains in the US, UK, Europe and Australia that sell them under their own store labels. Think of it as a low-cost, export-only private-label medicine factory that's now buying small European firms to get its own sales front there.

₹841 cr

Q1 FY27 sales (April to June 2026), up about 36% on a year ago. Q1 is normally its weakest quarter, so this was a big start.

25.3%

Q1 FY27 operating margin (EBITDA, profit before interest, tax and depreciation, as a share of sales). Roughly ₹25 kept per ₹100 sold, up from ₹16 a year ago.

₹159 cr

Q1 FY27 net profit, almost three times last year's ₹58 cr. Highest ever for a quarter.

₹1,058 cr

Cash in hand at end-June 2026, crossing ₹1,000 cr for the first time, even after paying for a Dutch acquisition. Still no debt to speak of.

₹152 cr

Free cash flow in the quarter (cash left after running the business and spending on plants). The business throws off cash.

15-20% / 20-21%

FY27 guidance left unchanged: sales growth of 15-20% and an operating margin of 20-21%, though the CEO said 21-22% for the year looks achievable.

Figures are consolidated, as given on the Q1 FY27 call. Market value is not quoted because this report is capped at information available by 30 Sep 2026.

2. Concall coverage: what was read

This is a continuity report. The twelve calls from Q1 FY24 to Q4 FY26 were read in full for the Q4-2026 report and are carried forward here as backstory. The one new call, Q1 FY27, was deep-read in full. Same two speakers as always: founder-CMD Mark Saldanha and CFO Jitendra Sharma.

Quarter(s)	Call date	Transcript read?
Q1 FY24 to Q3 FY26 (11 calls)	Aug 2023 to Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior boundary)	27 May 2026	Read for the Q4-2026 report
Q1 FY27	**13 Aug 2026**	**Newly deep-read in full ★**

★ Latest concall highlights: Q1 FY27 (call held 13 Aug 2026)

- **Record quarter in what's usually the slow one.** Sales ₹841 cr, up 36%; operating profit ₹213 cr, more than double; net profit ₹159 cr, up 174%. Plain read: every line hit an all-time high.
- **Europe is the new engine.** UK and Europe sales jumped 75% to ₹356 cr and are now about 42% of the company, close to the US (45%). The Dutch buy, QliniQ, added ₹44 cr; even without it the region grew 53%, all organic UK growth. A second deal, ABCnow in Germany, closed and gets counted from Q2.
- **US growth slowed to 15%** (₹377 cr) in a seasonally soft summer. Order book still "strong" per the CEO. The US target now is $300m of sales, then $400m over about five years.
- **Margins helped by cheap stock.** Gross margin hit 59%, partly because the company was still using raw material bought before prices jumped. Management itself says 55-56% is the more normal level and the year should end at a 21-22% operating margin, not 25%.
- **Tone: confident but not chasing.** Kept the ₹4,000 cr sales goal "within two years" and talked of doubling sales in five years. Refused to raise FY27 guidance, citing the war, freight and oil-linked costs.

2c. Business mix & capacity (quick glance)

Item	Latest figure	Plain read
Domestic vs export	India ≈ 0% · exports ≈ 100%	Still entirely overseas. Q1 FY27 split: North America 45%, UK and Europe 42%, Australia/NZ about 10%, rest of world about 2%. Europe has grown from about a third to over two-fifths.
OTC vs prescription (Rx)	US mostly OTC · UK 45% OTC / 55% Rx · new Europe arms 80-85% Rx	The European buys tilt the mix toward prescription medicines, which is new for a company built on OTC.
Where it's made	India 65-70% of volume	Most output is still Goa-made; the US plant is the tariff hedge.
Capacity use	Goa unit 2 (ex-Teva) about 60-65% of its target	Room to grow there, but management said it may need another Indian plant for its 3-5 year plan and is looking at a couple of targets. Nothing signed.

★ Since our last report

Builds on the Q4-2026 report (boundary call 27 May 2026). Prior verdicts: **Trigger YES**, **Consistency YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	US OTC share gains, fed by the new Goa plant, with UK and Europe as extra legs.	Growth came from every region at once. UK grew over 50% organically after a weak FY26, and Europe started adding real money. US slower but still growing.	Confirmed
Consistency: YES	Hit the ₹3,000 cr target on time, but margins never rose as promised and the European deal hunt closed nothing in three years.	Two European deals actually closed this time, and margins jumped. Guidance kept, not raised.	Improving
Promise: Europe acquisition	Three years of "advanced dialogue" with no deal.	QliniQ (Netherlands) and ABCnow (Germany) both done; Europe expected around ₹180 cr this year and about ₹1,000 cr within five years.	Improving
Promise: margin expansion	Stuck around 20-21% for three years.	25.3% in Q1, but helped by cheap inventory and currency. Guided year: 21-22%.	On-track, not yet proven
Watch: raw-material and freight costs	Flagged a 20-30% jump in input costs in early FY27.	Cheap stock is being used up; management expects gross margin to settle at 55-56%. Rest-of-world shipments hit by the war.	On-track (risk still live)

Verdict change this quarter: Both verdicts unchanged at YES. The trigger got broader, with Europe finally contributing. Consistency firmed up because the long-promised European deals were delivered, though the strong Q1 margin isn't something management is promising to repeat.

★ 3. Earning-trigger thesis: the headline

Scale in private-label medicines across rich markets, paid for out of its own cash. For three years the engine was taking shelf space from a small base in the huge US OTC market, backed by the second Goa plant. In Q1 FY27 the engine widened: the UK came back strongly and two small European buys gave it its own sales arms on the Continent. With over ₹1,000 cr of cash and no debt, the company can keep buying without borrowing. The proof is in the numbers: record sales and profit in the seasonally weakest quarter.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
US OTC share gains	Next goal $300m US sales, then $400m in about five years; order book strong.	Q1 US sales ₹377 cr, up 15%; softer summer.	Now to 5 yrs	Strong: real, in the numbers	Unchanged: still growing, a bit slower
UK complex products	UK would recover after FY26's price erosion.	UK grew over 50% organically in Q1.	Now	Strong	↑ Improving: back from a bad year
Europe front-end (acquisitions)	Europe about ₹180 cr in FY27, around ₹1,000 cr within five years; more deals wanted.	QliniQ added ₹44 cr in Q1; ABCnow counted from Q2; Germany sales start around Q3.	1-5 yrs	Moderate: started, small	↑ Improving: from zero to two deals
Goa unit 2 capacity	Plant to keep ramping toward its target.	About 60-65% of target now. A new Indian plant may be needed later.	Ongoing	Moderate	Unchanged

4. Management consistency scorecard

Period / theme	What was promised	What actually happened	Verdict
Prior record (FY24 to FY26)	₹2,000 cr then ₹3,000 cr sales, US doubling, debt-free.	All delivered roughly on time (carried forward).	Delivered
Teva / Goa unit 2 ramp	Full revenue by FY25.	Ran about a year late; now around 60-65% of target.	Partly
Margin expansion	Toward 22-25% as scale kicks in.	Sat near 20% for three years; Q1 FY27 25.3%, partly one-off.	Partly
European acquisition	Close a front-end deal (promised for three years).	Two closed in Q1 FY27 (Netherlands, Germany).	Delivered (late)
Backward integration (API)	Make its own raw materials.	Confirmed again as not being pursued.	Dropped
FY27 guidance	15-20% sales growth, 20-21% margin.	Q1 ran well ahead (36% growth, 25% margin); guidance held.	Too early

Narrative drift. The story is the same one told for three years: grow private-label OTC, add products, buy front-ends abroad, stay debt-free. What changed is that the European piece has finally moved from talk to deals. Management is careful not to overpromise off one great quarter: it said the gross margin will come back down and kept guidance where it was. The new wrinkle is that Europe is mostly prescription medicines, a different business from the US OTC shelf, and more deals are coming with no fixed timeline.

5. Bottom line: the two verdicts

Durable earning trigger? → YES · vs last quarter: unchanged

Nothing weakened it, and it got wider. The US is still growing, the UK recovered sharply, and Europe now adds real sales. Record profit in the slowest quarter, all funded from cash, is hard evidence the driver is working. The main risk is that some of this quarter's margin came from cheap stock and currency, and the second Goa plant isn't full yet.

Management consistent? → YES · vs last quarter: unchanged

Firmed up. The one long-running miss, a European deal, was delivered twice over this quarter, and management refused to raise guidance after a blowout quarter, which is a sign of care rather than hype. Soft spots stay: the margin step-up has only just shown up and partly for one-off reasons, the raw-material plan stays shelved, and future deals have no timeline.

Concall-Tracker report · Marksans Pharma Ltd · sources: Q1 FY27 earnings-call transcript (13 Aug 2026, via Screener.in) plus the Q4-2026 Concall-Tracker report for the twelve earlier calls. Coverage capped at calls held up to 30 Sep 2026. OTC = over-the-counter; Rx = prescription; EBITDA = operating profit before interest, tax, depreciation. Not investment advice.